Scenario 1 – Sales system

Key control identification	Evaluation of why a key control	Test of control
Sales orders are sequentially numbered, and sequence checks are regularly performed.	The control ensures that there are no duplicate or missing sales orders, and therefore that all orders are recorded.	Re-perform the review of the sequentially numbered sales orders, to verify numbers are in sequence. Investigate any discrepancies with the sales manager.
A check of the product descriptions and quantities between the sales order, GDN and physical goods is made prior to despatch by a different member of the warehouse team than the person who picked the products.	The control ensures that the quantity and description of goods despatched agrees to the sales order and GDN, and therefore that goods despatched are accurate in quantity and quality.	Observe the warehouse staff performing the check of product descriptions and quantities. Inspect a sample of goods ready for despatch to check these agree to sales order and GDN in both description and quantity.
Customers sign for goods on delivery.	This control ensures that goods despatched are received by the customer	For a sample of invoices from the sales listing, inspect the corresponding report of customer deliveries and copies of the signatures to verify that these have been signed for.
Sales orders are marked as 'invoiced' once the invoice has been emailed, and no further invoices can then be raised	This control ensures that an invoice is only raised once for each sales order and is not duplicated.	Observe a finance team member attempt to raise an invoice for a sales order already marked as status 'invoiced' confirming that it cannot be processed.
A four-way match is performed between sales order, GDN, invoice and customer payment, with exceptions reviewed and corrective action taken.	This control ensures that there are no discrepancies between sales order, GDN, invoice and customer payment. This helps ensure that invoices are accurate and that payments are received for all invoices.	For a sample of exceptions per the exception report, enquire with the accounts receivable manager regarding what corrective action was taken. Inspect supporting evidence to show that discrepancies were resolved.
A reconciliation is performed between the sales listing and the general ledger monthly and is reviewed by the finance manager.	This control ensures that all sales have been correctly included in the general ledger.	Inspect copies of the monthly reconciliation for evidence of review by the finance manager and follow-up investigation and resolution of any differences.

Scenario 2 – Purchase system

Key control identification	Evaluation of why a key control	Test of control
Signing of PR by user department manager.	The control ensures that the PR has been approved by an appropriately knowledgeable and senior individual, and therefore helps to prevent unrequired goods being requested.	For a sample of orders, inspect the corresponding PR to ensure these are signed by the user department manager prior to the date of order.
POs are sequentially numbered and reviewed in a weekly report.	The control ensures that no inappropriate, unapproved orders are placed.	Re-perform the review of the weekly PO report to confirm that PO numbers are in sequence investigating any gaps with the purchase manager.
The quality of goods are reviewed by trained warehouse staff before they are accepted.	The control ensures that goods accepted are of an appropriate quality and therefore helps to prevent accepting goods into the warehouse which cannot be used or sold.	Observe the delivery of goods to the warehouse, to verify that warehouse staff check the quality of goods prior to acceptance. Inspect a sample of accepted goods to check these are not damaged.
A three-way match is performed between GRN, proof of delivery note and PO prior to entry into the general ledger.	The control ensures that all details agree between GRN, proof of delivery note and PO agree, and therefore that goods received are correctly recorded.	For a sample of goods receipted in the general ledger, inspect the corresponding GRN, proof of delivery note and PO, to verify that these exist and that all details agree between the documents.
Invoices selected for payment are marked as paid in the creditors ledger once the payment run has been processed.	The control ensures that paid invoices are identified and recorded, so that payments are only made once.	For a sample of BACS payments, inspect the creditors ledger to verify that all corresponding invoices have been marked as paid in the creditors ledger.
The financial controller approves the payment run after review of supporting invoices.	The control ensures that payments are approved by a senior individual who has verified that the payment relates to genuine invoices only.	For a sample of payments selected from the bank statements, inspect the corresponding payment run for evidence of approval by the financial controller.